

President Trump and President Biden's Applications of U.S. Trade Policy and Tariffs in Relationship to China

U.S. President Biden took office on January 20, 2021, and as of June 2022, he has yet to significantly diverge from his predecessor's, President Trump's, trade policy towards China. This article will detail President Trump's trade policy towards China, focusing on the use of tariffs and then discuss how President Biden has diverged or continued his predecessor's policies. Throughout the past 6 years of U.S. trade action, it is critical to note that China has also adjusted its tariffs on U.S. goods, though this paper will not go into detail on the specificities of Chinese trade policy.

Tariffs – U.S. Trade Policy

First, it is important to understand some of the basics of U.S. trade policy as it relates to tariffs. In the U.S., there are several mechanisms that can trigger tariffs on foreign products. The first is an investigation under Section 201 of the Trade Act of 1974.¹ Under this act, domestic industries who have been “seriously injured or threatened with serious injury by increased imports” can petition the U.S. International Trade Commission (USITC) for import relief, significantly, Section 201 does not require a finding of an unfair trade practice, rather that the serious injury is directly caused by increased imports.² Once complete, USITC suggests remedies to the President who can offer relief through increasing tariffs, limiting the quantitative amount of imports, or establishing marketing agreements.³

The day-to-day of U.S. trade policy is managed by the U.S. Trade Representative (USTR). Section 301 of the Trade Act of 1974 gives the USTR a range of responsibilities to enforce U.S. trade rights and was primarily used as a way for the USTR to bring disputes to the WTO.⁴ Interested parties, such as a domestic industry group, can request that the USTR investigate foreign government conduct that denies U.S. rights under a trade agreement, an “unjustifiable” action that “burden or restricts” U.S. commerce and an “unreasonable” or “discriminatory” action that “burdens or restricts” U.S. commerce and then allows the USTR to impose several retaliatory actions include imposing tariffs or suspending trade concessions⁵

A less common form of triggering tariffs is through a Section 232 of the Trade Expansion Act of 1962 investigation. Under Section 232, the Secretary of Commerce is authorized to investigate the effects of imports on U.S. national security and then report to the President who is then authorized to act to “adjust the imports of an article” in order to address the threat to national security – there have been 14 Section 232 investigations since 1962.⁶

Tariffs – Trump Administration

¹ Brown and Joseph, “Solar and Washing Machine Safeguards in Context.”

² “Understanding Safeguard Investigations | USITC.”

³ “Understanding Safeguard Investigations | USITC.”

⁴ Congressional Research Service, “Section 301 of the Trade Act of 1974,” 301.

⁵ Congressional Research Service, 301.

⁶ “Section 232 Investigation on the Effect of Imports of Steel on U.S. National Security.”

The first major Trump-era tariffs on Chinese imports came in January 2018 following a Section 201 investigation requested by the washing machine industry and solar cell manufacturers industry after USITC found that the two industries had suffered serious injury following Chinese imports.⁷ The imposed increased tariff rate quota was set for a three-year period for washing machines and a four-year period for solar cells and modules.⁸ In response, China imposed tariffs on U.S. sorghum and South Korea and China filed WTO Disputes.⁹

While the U.S. membership at the WTO cannot be classified as strictly a tariff-related trade policy, President Trump's approach has had implications on tariffs. Notably, the Trump administration declined to appoint new judges to the WTO's Appellate Body as terms expired, ensuring that the judicial process at the WTO has not been able to proceed, inclusive of WTO disputes over tariffs, including U.S.-imposed tariffs.¹⁰

In April 2017, President Trump's Secretary of Commerce Wilbur Ross initiated an investigation into steel imports under the basis of Section 232.¹¹ On March 22, 2018, President Trump imposed a 25% ad valorem tariff on steel into the U.S. from all countries, except for a temporary few carve-outs.¹² China was not a carve-out and was and remains a major producer of steel. In response, a number of impacted trading partners such as the EU, Turkey, and China imposed retaliatory tariffs, the Chinese tariffs were imposed on products worth \$2.4 billion in export value in 2017 compared to the U.S. steel tariffs covering \$2.8 billion worth of Chinese exports.¹³

Next, President Trump and his USTR Robert Lighthizer began to pursue an investigation against China under Section 301 in August 2017, investigating Chinese technology transfer, IP and innovation policies/practices and found that Chinese policy resulted in:¹⁴

- Forced technology transfer requirements
- Cyber-enabled actions to acquire U.S. IP and trade secrets illegally
- Discriminatory and nonmarket licensing practices
- State-funded strategic acquisition of U.S. assets

Subsequently, in June 2018, the administration imposed 10% tariffs on \$50 billion worth of Chinese exports, including a variety of manufactured goods, electronic components and vehicle components and then modified Section 301 to allow tariffs on more than \$50 billion worth of exports and then added tariffs on an additional \$200 billion worth of goods including a wide variety of consumer goods like furniture and electronics.¹⁵ The \$250 billion worth of goods was accounted for approximately half of all goods imported from China to the U.S. in 2017.¹⁶ In response, China

⁷ USTR, "President Trump Approves Relief for U.S. Washing Machine and Solar Cell Manufacturers."

⁸ USTR.

⁹ Brown and Kolb, "Trump's Trade War Timeline."

¹⁰ Hopewell and Horton, "Lessons from Trump's Assault on the World Trade Organization."

¹¹ "Section 232 Investigation on the Effect of Imports of Steel on U.S. National Security," 232.

¹² "A Proclamation on Adjusting Imports of Steel into the United States."

¹³ Brown and Kolb, "Trump's Trade War Timeline."

¹⁴ Congressional Research Service, "Section 301 Tariffs on Goods from China: International and Domestic Legal Challenges."

¹⁵ Congressional Research Service.

¹⁶ Brown and Kolb, "Trump's Trade War Timeline."

imposed high retaliatory tariffs and the U.S., despite attempts at negotiation, raised the tariff rate to 25%.¹⁷ From 2018 to January 2020, both the U.S. and China continued to impose higher and more expansive tariffs; adding, removing and re-adding covered goods. In January 2020, President Trump signed a “Phase One” trade deal that essentially prevented further tariff increases, provided structure to returning to pre-trade war trade levels, and included a provision that required China to purchase an extra \$200 billion worth of American products by the end of 2021, this provision is a departure from typical trade agreements.¹⁸ The trade agreement did not substantially remove imposed tariffs.

Tariffs – Biden Administration

In February 2022, the Trump-era tariffs on solar cells and washing machines were set to expire. President Biden chose to extend the tariffs on Chinese solar products, but added some carve-outs for specific products needed to meet the administration’s clean energy targets and chose not to lift tariffs on washing machine.¹⁹ On June 6, 2022, President Biden announced that the administration would not impose any new tariffs on the solar industry for two years in response to importers and clean energy advocates who argued that the tariffs had slowed the broader adoption of solar energy in the U.S., this tariff hold applies to Chinese solar exports.²⁰ However, this does not lift already existing tariffs on Chinese solar cells and some advocates for continued tariffs say that Chinese companies have shifted solar production to Southeast Asia to circumvent existing U.S. tariffs and that the hold limits any remedial action that the Department of Commerce could enact if they find that Chinese companies have been deliberately avoiding tariffs.²¹

In December 2021, President Biden agreed to lift some of the Section 232 steel tariffs on the EU and later in 2022, exempted some Japanese, Ukrainian and U.K. exports.²² The tariffs remain in place for Chinese steel exports. President Biden’s Secretary of Commerce recently announced that the steel tariffs will remain in place.²³

President Biden has not signaled that he is going to substantively change the U.S. approach at the WTO, significantly not allowing the appointment of judges to the Appellate Body essentially guaranteeing that any disputes filed over U.S.-imposed tariffs will not be heard.²⁴

Upon taking office in January 2021, President Biden did not take any substantive action on President Trump’s Section 301 tariffs and subsequent Phase One trade deal. However, his hand soon will be forced. The Trump-era Section 301 tariffs are set to expire in August 2022 unless impacted industries petition the USTR to keep them in place and the USTR agrees.²⁵ In May 2022, USTR announced a statutory review of the Section 301 tariffs imposed in 2018 following the investigation of China’s Acts, Policies, and Practices Related to Technology Transfer, Intellectual Property, and

¹⁷ Brown and Kolb.

¹⁸ Greg Rosalsky, “China Promised Trump a Better Deal for America; It Didn’t Actually Deliver.”

¹⁹ Swanson and Penn, “President Biden Extends Solar Tariffs, with Major Caveats.”

²⁰ Swanson, Gelles, and Tankersley, “Biden to Pause New Solar Tariffs as White House Aims to Encourage Adoption.”

²¹ Gelles, “Solar Industry ‘Frozen’ as Biden Administration Investigates China.”

²² Brown and Kolb, “Trump’s Trade War Timeline.”

²³ Gelles, “Solar Industry ‘Frozen’ as Biden Administration Investigates China.”

²⁴ Aarup, “‘All Talk and No Walk’: America Ain’t Back at the WTO.”

²⁵ “Biden’s Politically Perilous Choice on China Trade.”

Innovation.²⁶ Impacted industries have until July 2022 to request continuation of the tariffs and thus trigger an investigation. None of the increased purchases promised under Phase One of President Trump's trade deal with China have been made.²⁷

The Biden administration has long been planning to launch an updated strategy for its economic and trade policy relating to China but has been delayed for a variety of reasons with administration sources citing the war in Ukraine and Secretary of State Blinken's recent bout of Covid.²⁸ President Biden's Secretary of Commerce Gina Raimondo has stated that her Department is reviewing some of the tariffs, particularly those on consumer goods.²⁹ U.S. retail advocacy groups have urged the President to lift some of the tariffs, but some labor groups have urged the President to keep the tariffs in place.³⁰ Academic research has generally shown that the Section 301 tariffs have had a negative impact on the U.S. manufacturing sector and the economy.³¹ There is not a consensus within U.S. Congress on how to address trade policy on China – various factions of Democrats and Republicans have called for the tariffs to remain in place or be lifted.³² Even within President Biden's administration, there is no clear consensus. USTR Katherine Tai has stated that any decision to remove tariffs must be “strategic,” declining to signal whether some or all tariffs would be removed or even when to expect a decision.³³ This contrasts with Treasury Secretary Janet Yellen who recently stated that the administration will “reconfigure” certain tariffs and who has long been critical of President Trump's Section 301 tariffs.³⁴ In a speech given on June 6, 2022, President Biden said that he is considering removing some of the tariffs, stating “we did not impose any of those tariffs; they were imposed by the previous administration, and they are under consideration.”³⁵ However, there have been no clear signals as to how their approach will differ from President Trump's approach and what, if any, changes can be expected well over a year into President Biden's tenure.

Conclusion

The Trump administration imposed tariffs on Chinese products under three major avenues – Section 201, Section 301 and Section 232. President Biden has chosen not to impose any new Section 201 tariffs but has only lifted Section 201 tariffs on a selected number of goods, most remain in place. President Biden has also lifted Section 232 tariffs on exports from a variety of trading partners, notably excluding China and has yet to clearly signal lifting any of the Section 301 tariffs. President Biden is also not appointing any new judges to the WTO's Appellate Body. Trade policy is also a reflection of domestic issues and any decision the Biden administration makes going forward will be influenced by the current period of high inflation.³⁶ However, as of now, President Biden's trade policy towards China has not significantly diverged from that of his predecessor.

²⁶ “USTR Issues Notice Regarding Statutory Four-Year Review of China 301 Tariffs.”

²⁷ Greg Rosalsky, “China Promised Trump a Better Deal for America; It Didn't Actually Deliver.”

²⁸ Swanson, Wong, and Rappeport, “Debate Over Tariffs Reveals Biden's Difficulties on China Trade.”

²⁹ Smith, “Biden Administration Weighs Ending Some Trump-Era China Tariffs To Counter Inflation.”

³⁰ Beals, “Labor Unions Pressure Biden to Extend Trump-Era China Tariffs.”

³¹ Greg Rosalsky, “China Promised Trump a Better Deal for America; It Didn't Actually Deliver.”

³² “Biden's Politically Perilous Choice on China Trade.”

³³ Martin and Shirley, “US Must Be ‘Strategic’ on China Tariffs: Biden's Trade Representative Tai.”

³⁴ Condon, “Yellen Says Biden Team Is Looking to ‘Reconfigure’ China Tariffs.”

³⁵ Swanson, Wong, and Rappeport, “Debate Over Tariffs Reveals Biden's Difficulties on China Trade.”

³⁶ “Biden's Politically Perilous Choice on China Trade.”

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